For the inside option, the BRICS learned from the status quo states about the power advantages of forming an inner circle, or exclusive club, within multilateral organizations to enhance their influence.[58] *De facto* inner clubs of powerful states have steered global governance forward since the birth of these organizations, thus solving problems of collective action among large numbers of sovereign states, yet bias results very clearly in directions that further the private, self-regarding interests of the incumbent powers.[59] There is also an outside option. With the rise of their capabilities, but not having been given an equivalent increase in influence in global governance, the BRICS governments have aspired to have their own club, so that they can advocate for their own agenda and interests in managing international financial and monetary matters. A power asymmetry exists within the BRICS, however. As the United States clearly dominates the G7, so do Chinese leaders continue to lead the BRICS, especially given their greater financial contributions to joint projects. As with the United States within the G7, China can sometimes obtain its preferences within the group simply because its partners recognize that China has additional outside options that others lack. For example, China yielded to its fellow BRICS in establishing equal votes and shares for each member within the New Development Bank (NDB), but it also created another bank, the AIIB, in which it has effective veto power, holding the largest share of voting rights—and insisted that the others also join, with smaller amounts of capital and influence.

The global power shift in recent decades that has given rise to the BRICS demands is well documented, as shown in Chapter 2. It is most obvious in the shift in relative economic capabilities and less evident in the military sphere. While the United States continues to hold a preponderance of capabilities in many dimensions, China has increased its relative position very rapidly and drawn even in economic capabilities, at least by some measures. Most dramatically, the relative capabilities of the major Western European countries, and to a lesser extent Japan, have declined, while those of the BRICS and other emerging economies have increased.

The financial and monetary capabilities of the BRICS are also shifting, with their home financial markets and regulatory frameworks getting somewhat deeper and more sophisticated. Overall, the main financial capability possessed by the BRICS at present is their large foreign exchange reserves, especially for China, whose buildup of foreign exchange is simply the counterpart of its enormous trade surplus with most of the advanced industrial countries (not to mention with India). For decades, China, along